

and hold onto your securities," a highly successful financier advised me years ago, when I first started buying stocks.

"Bank on the trends and don't worry about the tremors.

Keep your mind on the long-term cycles and ignore the sporadic ups and downs . . . "

Great numbers of people who purchase stocks seem unable to grasp these simple principles. They do not buy when prices are low. They are fearful of bargains. They wait until a stock goes by—and up—and then buy because they feel they are thus getting in on a sure thing. Very often, they buy too late— just before a stock has reached one of its peaks. Then they get caught and suffer losses when the price breaks even a few points.

Typical of these people is an acquaintance of mine with whom I had lunch one day in 1955. We talked about many things—including the stock market. During the course of the conversation I happened to mention that the X

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Corporations shares were selling at 4 ½, and that I thought the stock would go up in price.

By late 1957, the stock stood at 11 I later learned that my acquaintance had kept his eye on the stock for two years and, when it reached 11 1/4, he finally decided it was safe to buy and purchased several hundred shares. He watched happily while the stock climbed to 13 ½ in the next six months. Then there was a dip. X shares fell to 10 and stayed there. My Johnny-come-lately acquaintance sold out and lost money. Those of us who'd bought early held on, for the securities were worth more than twice what we had paid for them.

Eventually, the stock rose again, going up several more points to reach another fairly steady price plateau. Today, it's around 15—and those of us who bought early are holding on to it firmly. I might add that we've also collected satisfactory dividends on the stock through the years.